

4ORM FINANCE · INVESTOR PRESENTATION · CONFIDENTIAL · 5 AUGUST 2026

Daily Proof For Canada's Trust **Accounts**

Every day, we prove the money a company is holding for someone else is still all there.

Pre-seed \$2,050,000 in five parts · Two committed · Seed \$3,500,000 in 2028

August 2026 · 4ormdr.com

Words On This Page

Trust account

A bank account holding money that belongs to somebody else. A lawyer holding your house deposit is the everyday example.

Payment company

A business that holds or moves money for other people without being a bank. Payroll firms, money transfer apps and gift card companies. These are our first customers.

Safeguarding

Keeping customer money apart from the company's own money, and being able to prove it.

Reconciliation

Checking two lists against each other. What a company says it holds for customers, against what the bank says is in the account.

Registration

Government permission to operate. A company applies and the regulator decides. Some are turned down.

Regulator

The government body that writes the rules and checks that a company follows them. Ours is the Bank of Canada.

Examiner

The person from the regulator who asks to see the records, usually about a date in the past.

Independent review

An outside firm checking the records. The first one falls due in September 2028 and it looks back three years.

Penalty ceiling

The largest fine a regulator can hand out for one breach. Here it is one million dollars for a serious one and ten million for a very serious one.

Recurring revenue

Money that comes in every year without having to sell it again. It is what a software company is valued on.

Runway

How many months of costs the money in the bank covers.

Pre-seed and seed

The first and second rounds of money a company raises. The first builds the product. The second grows it.

SAFE

A way of putting money in now and setting the price later, at the next priced round. It avoids arguing about the value of a company with no revenue yet.

One list for the whole package

Every other document you are given uses these same thirteen words, with these same meanings. Nothing later in this deck uses a word that is not on this page.

WHO WE ARE

What We Do

We are a software firm in Alberta. We build the daily proof a business owes when it holds money for other people. **We are not a bank, we do not move money, and we never touch it.**

WHY NOW

New rules for payment firms began on 8 September 2025. About 300 firms are signed up today, and more than 1,500 have applied. Each one must check client money every day, and pass an outside review by 8 September 2028. **The duty is live, the buyers sit on a public list, and no tool was built for these rules.**

THE CHANCE

We are raising \$2,050,000 in five parts. It builds the proof store, ships the full set of duties, and puts ten named customers live. Then a seed of \$3,500,000 in 2028, priced on that proof rather than on a guess. The plan reaches \$8.5M of sales by 2031.

WHAT WE NEVER DO

We never hold client money and we never move it. We never sign a filing on a customer's behalf, and the assistant never decides anything. **The duty stays with the firm that holds the money, and so does the signature.**

The first two parts are shares bought at a set price. The three after them are SAFEs, which set no price today. The whole market is a ceiling rather than a forecast.

\$2,050,000

Pre-seed, five parts

\$3,500,000

Seed, priced in 2028

\$83.1M

Whole market, 6,040 firms

Daily Duty

Since 8 September 2025 a payment firm must know each day whose money it holds and how much. It must match that against the trust account, and be able to show the proof a year and a half later, under the rule of that day. **The duty belongs to the firm and cannot be handed to the bank.**

THE MORNING AS SIX SEPARATE TOOLS



Nothing carries from one to the next. The record stops at every gap, and a year later there is nothing to show.

THE SAME MORNING ON ONE SYSTEM



One run, start to finish. The file at the end is the file the reviewer takes, and nothing in it was rekeyed or fetched from somewhere else.

Read the top row first. Each break in it is a place where the record stops. An examiner does not ask whether the check was done, but whether you can show it, on the day it was done, under the rule of that day. Six tools cannot answer that at any price.

What We Build

One system does the work. It keeps the proof where nothing can be pulled out, it knows which rule applied on the day, and it hands over the file when asked. **Fourteen duties across four rule makers come down to three building blocks.**

THREE BUILDING BLOCKS

A check
Two sides, a gap, and a limit

A dated record
An author, a signer and a date

A filing
The form the rule maker set, and a receipt



One system
It does not know what a payment firm is. It knows checks, dated records and filings.

Five screens, no sixth



FOURTEEN DUTIES, FOUR RULE MAKERS

Bank of Canada
11 duties

Provincial councils
1 duty

FINTRAC
1 duty

OSFI
1 duty

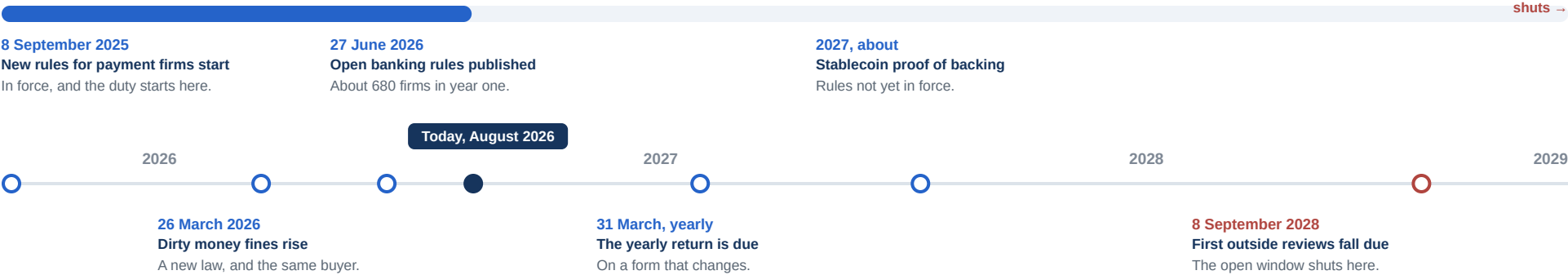
A fifteenth duty that does not fit these three blocks is a sign to look at the design again, not a sign to add a fourth block.

Rule text is written, and never coded.

The duty is done, proved and answered for. That is the whole product.

Why Now

The open window Open since September 2025, and it shuts on 8 September 2028



No one to push out

There is no old deal to wait out and no cost to switch. It is the one thing on this line with an end date on it.

Buyers are named

The list is public and free. Most such groups in Canada cannot be counted at any price, and this one can.

Deadline is set

September 2028 looks back three years, so a firm that starts keeping proof in 2028 has already lost two of them.

History that was never kept cannot be built later, at any price.

Founders, And Two Roles This Round Hires



Chad R. Johnston

Founder, CEO,
President and Chair

Ran life safety work in oil and gas, then six years building work systems in a Canadian money training firm. He owns the customer, the round and the price.



Kevin Wong

Co-Founder,
Sales and Market

Twenty two years growing firms as a founder and a part time head of marketing. He owns how we are seen, the reviewer channel and new markets.



Senior Engineer

Proof store and
two time lines

The two things the whole plan rests on, and never handed to anyone else at any price. The search is on and this round pays for it.



Rule Lead

Writes and signs
each rule release

Part time at first, full time from 2028. No coder ever makes a rule call. The search is on and this round pays for it.

Two founders, and the two roles this round hires. **Nothing is built before both are in place, because a coder must never make a rule call, and neither must a model.** The advisory bench is on the next two pages. Full notes are in the data room.

Capital And Legal Counsel



Bruce Fair

Founding Capital
Markets Advisor

Twenty five years shaping private and public share deals. Mench Capital has raised or taken part in more than \$500 million of deals since 1999.



Michael Stephens

Legal Counsel,
Partner at Fasken

Tech law partner at Fasken, and named in Best Lawyers in Canada for tech law and for fintech.



James Atherton

Legal and Capital
Markets Advisor

Twenty years advising growth firms on deal shape, boards and private raises. Sits on a securities forum in British Columbia.

Counsel on shares and rules: Fasken Martineau DuMoulin LLP. Full notes in the data room.

Advisory Council



Dean McCall

Advisory Council,
Growth

Fifteen years working with founders, family offices and funds. He takes firms from an idea to a size that can stand on its own.



Zahiruddin Sandeela

Advisory Council,
Design

Twenty years building systems under strict rules, including Interac payments and control work at WorkSafe BC. He reviews the target design.

Who decides what

The order a call travels in

Leadership team

Decides what is built, and when



Advisory bench

Reviews the design, and opens doors



Rule lead

Signs each rule release, alone

No coder makes a rule call, and neither does a model.

Both sit on the advisory bench. Neither is on the leadership team. The bench is used for review and for reach. It does not run the company and it does not make rule calls.

Who We Work With

Rule makers

- Bank of Canada, for payment firm rules.
- Provincial real estate councils, for trust books.
- FINTRAC, where the buyer has a dirty money duty too.
- 4orm needs no licence of its own, because we never hold client money.

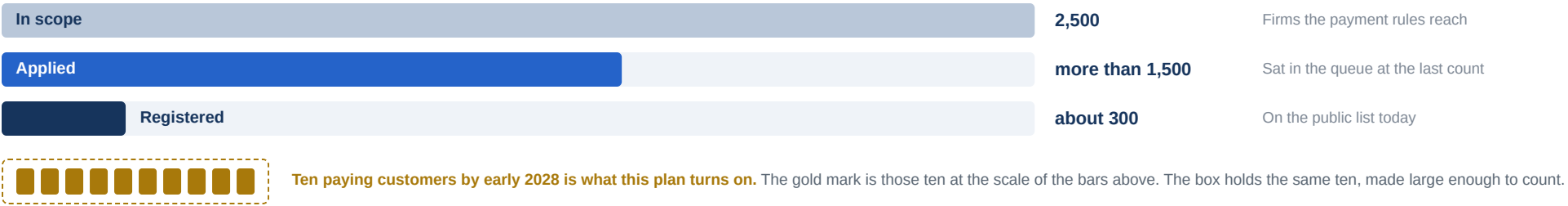
Buyers

- About 300 named firms sit on the public list, and more than 1,500 have applied.
- Two design partners wanted, live by the first quarter of 2027.
- Outside review firms, as a way to reach buyers.

Build and counsel

- Design is led in house, and the proof store is never handed out.
- Speer Technologies, engaged on a phased work order.
- Counsel: Fasken Martineau DuMoulin.
- An outside check every year from 2027, never by the team that built it.

THE BUYERS, COUNTED



As at 5 August 2026. No contract is signed and every line is a target with a date on it. Counts: the Bank of Canada registry, reported by BetaKit, October 2025.

Two Firms Sold The Layer Between, And It Was Worth Billions

- **Avalara** built the software that works out and files sales tax in thousands of places. It was taken private at **US\$8.4 billion**.
- **AxiomSL** built the software banks use to file with their rule makers. It passed into a group bought for **US\$10.5 billion**, about 17.8 times recurring revenue.
- Neither owns a tax law and neither owns a filing form. Rule makers publish those, and both bind to them.
- That is the same asset here, and it is what makes the search tier possible.

SALES TAX SOFTWARE

US\$8.4B

Avalara, taken private

Both figures are United States dollars, as reported, and we did not audit them. Every other figure in this deck is Canadian. 4orm Finance is tied to neither firm.

PUBLISHED BY THE RULE MAKER

The rule, and the form it has to be filed on. Free to anyone, and owned by nobody.



The layer between

The dated rule text, the map from a firm's data into each form, and the record of what was decided.

This is the part that can be owned



HELD BY THE FIRM

Its own books, its own bank feed, and the people who sign. Owned by the firm.

Rule makers publish the forms. What can be owned is the layer between.

Built In Canada

- ✓ Set up in Alberta, with an office in Calgary.
- ✓ Every record is held and worked on in Canada, and that sits in the contract rather than a policy.
- ✓ Nothing is copied to a site outside Canada for backup or for study.
- ✓ Search and drafting run on Canadian servers, so no client data leaves the country.
- ✓ The rule text is Canadian and is written here, which is the part a foreign seller cannot buy.

Alberta

Where we are set up

ca-central-1

Where the data lives

ONE COUNTRY, AND NO WAY OUT OF IT

Held and worked on in Canada	
The records	Every dated record, in the store
The working copy	Bank and books feeds, matched each morning
Search and drafting	On Canadian servers, for Canadian text
The rule text	Written, signed and dated here

THE BORDER

A backup on a site outside Canada	⊘
A copy taken away for study	⊘
Search running on a foreign server	⊘

The Alberta set up is done and counsel is engaged at Fasken. Where the records live sits in the customer contract, so it cannot be changed by a policy note.

Nine Layers

LAYER	WHAT MUST BE TRUE OF IT	WHO BUILDS IT
Proof store	Records are added and dated, never changed	Senior engineer only
Two time lines	What we knew, and what the rule said	Senior engineer only
Rule library	Canada's rules held as data, each one dated	Rule lead signs it
Cases and steps	A new job is a form plus steps plus links	Engineering manager
Data in	Bank and trust feeds, with replay	Full stack, reviewed
Filing	One form per rule maker per year, plus receipts	Senior engineer only
Assistant	Finds and drafts, and cites the record	Engineering and rule lead
Screens	Five screens, alerts, and export on each one	Full stack and design
Base platform	Each client kept apart. Records held in Canada	Speer, to our design

How to read the colour on the left of each row.

■ Senior engineer here, never anyone else

■ Written and signed by the rule lead

■ Our own team, and reviewed

■ Build partner, to our design and test

If the eleventh job needs new code, the platform claim has failed.

Above the base platform, everything is text, settings or a form. The software does not know what a payment firm is. That is the platform claim drawn as a design, and it fails the first time a customer needs code rather than settings.

Two Questions

An examiner asks two things. What did you know on the day, and what did the rule say on the day. **A system with one time line can answer neither, and it cannot be moved onto two later.**

DRAWN TO SCALE. SIDEWAYS DISTANCE IS TIME.



With two time lines

What did the record say on 14 March 2026, under the rule of that day, and who signed it. The fix shows, and so does the thing it replaced.

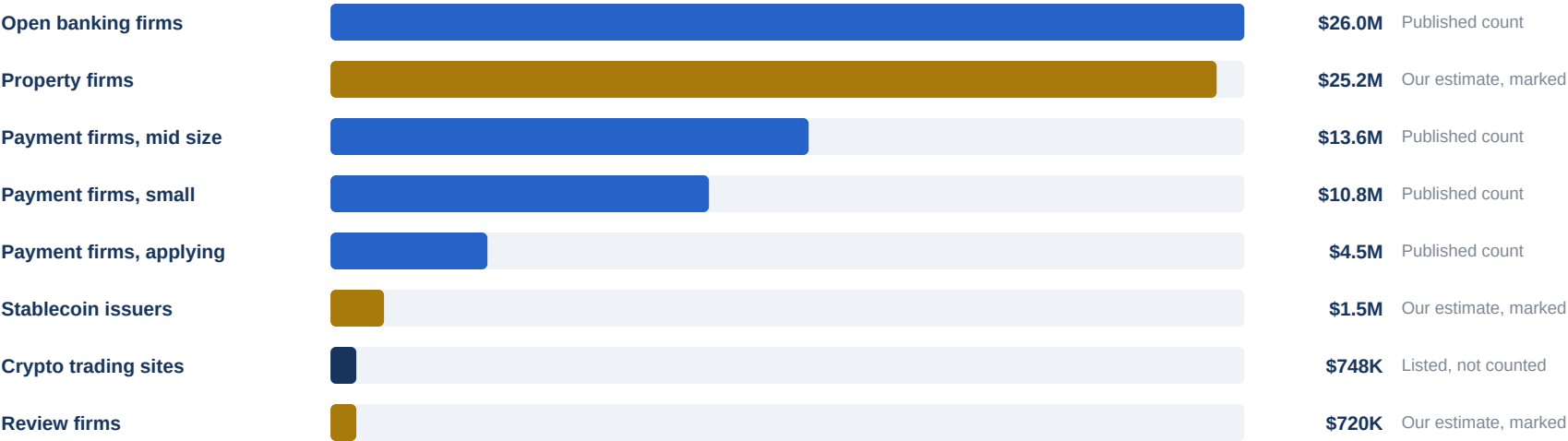
With one time line

Today's value, under today's rule. The March answer is gone, because the rule of that day was never kept.

A fix is added on top rather than written over, so the first record and the fix both live on, and the order is itself proof. This is the cheapest thing to build first and the dearest to add later.

Two Of The Eight Groups Hold 62% Of The Fees

\$83.1M of yearly fees across **6,040** firms, in eight groups across two rule makers. That is a ceiling rather than a forecast. The plan reaches **411 customers by 2031**, which is 6.8% of the firms.



■ Published count ■ Our estimate, marked wherever it shows ■ Listed, not counted

Firms in each group, times the yearly fee. Four groups have a published count, one is listed but not counted, and three are our own estimate and say so wherever they show. A stablecoin is a digital coin meant to hold a fixed value, usually one dollar, and the firms behind one hold real money to back it. Open banking is a new Canadian rule that lets you tell your bank to share your data with a firm you have chosen.

Second Rule Maker

A property firm owes a monthly bank check. The broker reviews and signs it within thirty days, and it needs a list for each client and a list of what is owed. That is the Alberta Real Estate Act, sections 25 and 69, and Rules 41, 52, 91 and 95 to 97. **The same duty, on a new cycle, in front of a new rule maker.**

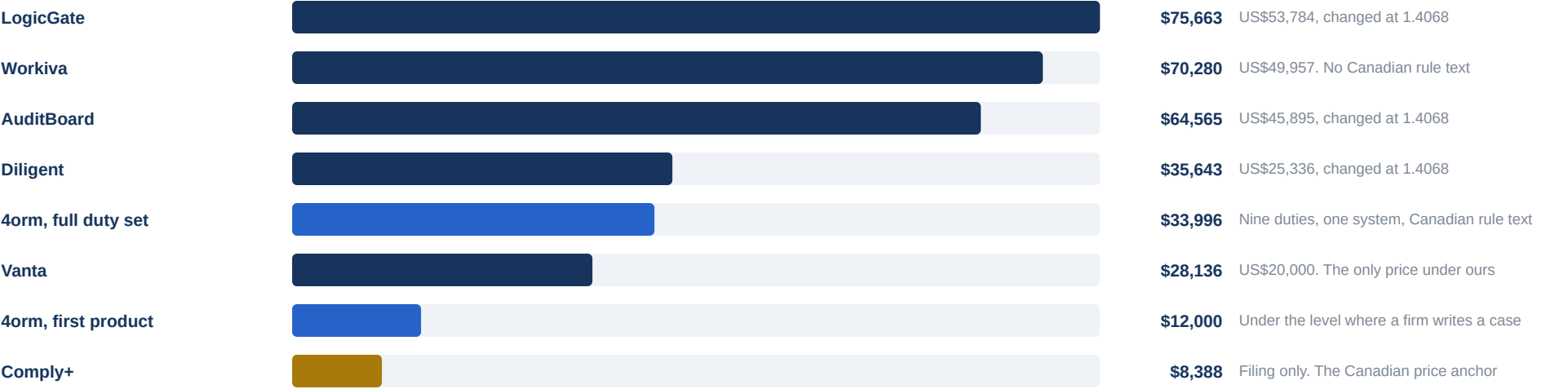


If the second rule maker needs new code rather than new rule text, this is two products in one coat and the growth case fails.

Reached through an owner network rather than cold, and priced at \$7,200 a year. It is a settings cost rather than a second build, and we find out whether that is true in the third quarter of 2028.

Nobody Sells The Thing Between A Filing And A Big Platform

The big platforms sell joined up reporting to large firms. Setup costs them one and a half to two and a half times the licence, and the Canadian filing sellers stop at the filing. **Nobody sells the thing in between.**



How to read the bars. ■ 4orm, list price ■ Big platform, middle of seen deals ■ Canadian filing seller, list price

Middle of seen deal values, Vendr 2026, against our list price. All figures are a year of fees in Canadian dollars. Three colours share this chart, so it keeps its key. A thirty four thousand dollar price hurts a seller who prices at seventy thousand, and it caps us at the same time. That is a real defence and a real ceiling.

One Rival Reaches Canada, And It Covers No Canadian Payment Duty

SELLER OR FORCE	HOME	KIND	WHERE IT STOPS
Cable, inside Synctera	US and Canada	The threat	Built for the American bank model. No published cover of Canadian payment rules, the set framework or the 31 March return. That gap is the whole position and it will not last.
Comply+	Canada	Price anchor	Filing only, with no client money work, no framework and no outside review.
Alessa, CaseWare	Canada	Fast follower	Dirty money work only, and nothing in payment rules.
Nasdaq Verafin	Canada	Gravity	Will not meet us in the small firm market, and does not touch payment rules.
Vanta and Drata	US	Same shape	Security rules rather than money rules, and one to two years from proof a rule maker will take, with Canada unlikely to be first.
Workiva	US	Category maker	Big firm reporting, with no Canadian rule text and no payment rules.
ServiceNow, Archer, MetricStream	US	Cost model	Setup at one and a half to two and a half times the licence. They cannot reach thirty thousand dollars without breaking their own model.
Case IQ	Canada	Block taken	Case work only, with no rule text, no filing and no daily check.
Resolver, inside Kroll	Canada	Closest answer	Firm wide risk, and not payments, trust books or filing.

WHAT THE COLUMNS MEAN

Seller or force. A firm a buyer could put in front of us. **Home.** Where it is based, which sets how much rule text matters.

Kind. What sort of thing it is, and how we treat it. **Where it stops.** The point it does not go past today. **Shaded row.** The one rival that can already reach Canada.

Cable, now inside Synctera, is the direct rival and it reaches Canada through a big bank. What sets us apart is narrow and will not last. Each row is checked again every quarter.

Product In Five Parts, And The First One Carries The Rest



Where We Are Today

- ✓ Money plan built, twenty two tabs, with a named source on each big figure.
- ✓ Design pack done: nine layers, four things that cannot be bolted on later, and the test written down.
- ✓ Speer Technologies engaged and rates agreed. The work order is being cut again to match the spec.
- ✓ Counsel is engaged at Fasken, and the Alberta set up is done.
- ✓ Two searches running, both paid for by this round.
- ✓ **No customers. No sales. No signed deals.** This is a pre-seed.

AT A GLANCE

Pre-seed

\$2,050,000, five parts

Seed

\$3,500,000, 2028, on proof

First sales

First quarter of 2027

Modules

Three, across two rule makers

Groups

Eight, each sourced or marked

Grant plans

8 modelled, none awarded

What has to be true next, and by when

By the end of 2026

The design note given and taken, the intellectual property assigned, and twenty calls made off the list.

By the first quarter of 2027

Two design partners live, and the first paying customer signed.

By the first quarter of 2028

Ten paying, live, named customers. Everything else in the plan follows that one number.

Repeat Fees Reach 92% Of Sales By 2031

Priced by duty, not by volume

The fee is set by the size of the duty. It never moves with volume, so a busy quarter does not raise the bill. It is \$12,000 a year for the first product, \$33,996 for the full set, and \$7,200 for a property firm. Repeat fees reach 92% of sales by 2031.

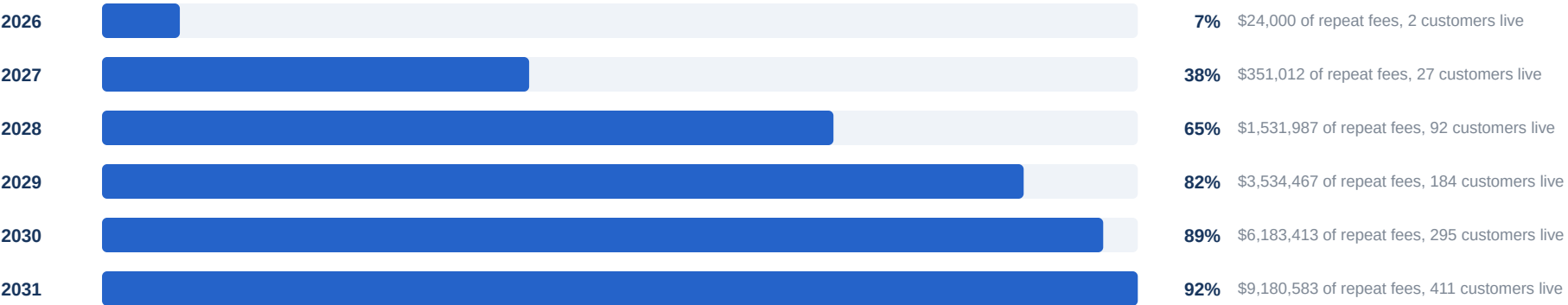
One system, many duties

Fourteen duties across four rule makers come down to three blocks. The second rule maker is a text release rather than a second build, and the eleventh job ships with no coder. If it does not, the claim has failed, and we would rather learn that in 2028 than in 2031.

Money that costs no shares

Eight grant plans are modelled, worth \$775,000. **None is awarded.** Four are open to us today. The nearest is **ElevateIP Alberta**, worth up to \$110,000 against counsel on the intellectual property, with a call open this month and every published test met. Switch the grants off and the plan still reaches the seed.

The share of sales that repeats climbs every year, from 7% in 2026 to 92% in 2031



Repeat fees are the part a customer pays every year without being sold again. Set up fees and services make up the rest. Bars start at zero, and bar length is the share of sales that repeats. Source: 4orm Finance money plan, 5 August 2026, base case.

Every Group Has One Published Price, From \$7,200 To \$33,996 A Year

GROUP OF BUYERS	MODULE	A MONTH	SET UP, ONCE	A YEAR	FIRMS
Stablecoin issuers	Comply	\$6,250	\$18,000	\$75,000	20
Open banking firms	Comply	\$3,750	\$9,000	\$45,000	578
Payment firms, mid size	Comply	\$2,833	\$6,000	\$33,996	400
Crypto trading sites	Comply	\$2,833	\$6,000	\$33,996	22
Payment firms, small	Safeguard	\$1,000	\$2,500	\$12,000	900
Payment firms, applying	Safeguard	\$750	\$2,000	\$9,000	500
Property firms	Trust	\$600	\$1,500	\$7,200	3,500
Review firms	Comply	\$500	\$1,200	\$6,000	120
Assist, the search tier	Thirty per cent on top of the base fee, never a deal of its own			+30%	53% take it

What the columns mean.  **Safeguard**, client money on its own, our first product  **Comply**, the full set of duties for a payment firm  **Trust**, trust book checks, the second rule maker

A month and a year are list prices in Canadian dollars, published rather than haggled, held flat to 2028, then rising three per cent a year, capped for the term. Set up, once is paid once at the start, not each year. Firms is that group's count, from the public list or a marked estimate.

The other prices are seen United States deals changed at the Bank of Canada rate of 1.4068. On that basis the full set at \$33,996 sits under all of them except Vanta. Source: Vendr seen deal data, 2026.

Worth Of One Customer

WHAT IS MEASURED	2027	2028	2029	2030	2031
New customers won	25	66	96	123	134
Cost to win one	\$3,144	\$3,555	\$5,291	\$7,286	\$10,112
Yearly fee, each customer	\$13,000	\$16,652	\$19,209	\$20,961	\$22,337
Gross profit, each customer, a year	\$8,386	\$12,173	\$14,505	\$15,908	\$16,927
Worth of one customer, whole life	\$83,859	\$121,734	\$145,048	\$159,076	\$169,269
Worth against cost to win	26.7x	34.2x	27.4x	21.8x	16.7x
Months to earn back that cost	4.5	3.5	4.4	5.5	7.2
Customers needed to break even	116	145	181	226	266
Customers live at year end	27	92	184	295	411

Cost to win one. What it costs to win one customer, not counting sales pay. **Worth of one customer.** Gross profit from one customer over the time an average one stays.

Worth against cost. How many times a customer pays back what it cost to win them. **Months to earn back.** Months of gross profit to cover what it cost to win them.

Every year clears the 3.0x test, and 2028 is the best at 34.2x



Payback stays under the 13 to 20 month band in every year



The two charts use their own scales. Read each one against the mark drawn on it. Cost to win leaves out sales pay, so this is the bright reading.

Ten Paying Customers By Early 2028 Is The Step The Plan Turns On



2027 is the build and proof year. Every mark sits at the date it falls due, so the distance between two marks is the time between them. Not sales, not pipeline, not letters of intent.

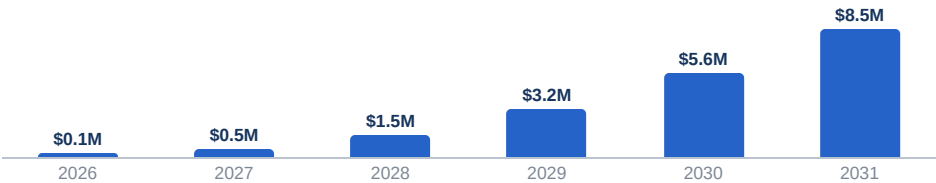
Sales Reach \$8.5M, And The First Cash Profit Lands In 2031

CASH MILLIONS	2026	2027	2028	2029	2030	2031	6 YEARS
Sales	0.07	0.49	1.47	3.17	5.60	8.47	19.27
Cost of sales	(0.03)	(0.17)	(0.39)	(0.78)	(1.35)	(2.05)	(4.78)
Gross profit	0.04	0.32	1.07	2.40	4.25	6.42	14.49
Running costs	(0.47)	(1.34)	(2.21)	(3.33)	(4.55)	(5.86)	(17.76)
Grants, none awarded yet	0.01	0.29	0.21	0.20	0.06	-	0.78
Cash profit	(0.43)	(0.73)	(0.92)	(0.74)	(0.24)	0.56	(2.49)
Cash at year end	0.62	0.89	3.47	2.73	2.50	3.06	
Gross margin	51%	65%	73%	76%	76%	76%	75%

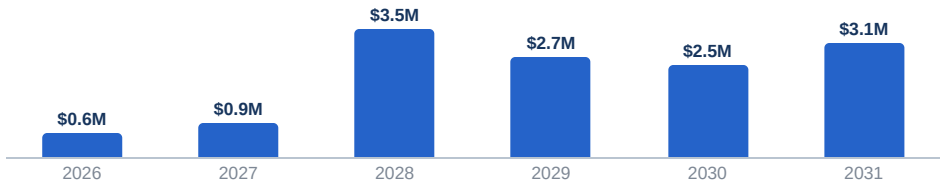
CASH millions. Canadian dollars, in millions. **Brackets**. A number in brackets is a loss. **Cost of sales**. What it costs to serve customers. **Gross profit**. Sales less the cost of sales.

Grants. Plans applied for. None is awarded. **Cash profit**. Left before tax, interest and write offs. **Cash at year end**. What is in the bank on 31 December. **Gross margin**. Gross profit as a share of sales.

Sales rise every year, from \$0.1M to \$8.5M · CASHM



Cash is lowest at the end of 2026, then climbs · CASHM



Bars start at zero, so bar height is the money. Source: 4orm Finance money plan, 5 August 2026, base case, twenty two tabs. Cash profit is before tax, interest and write offs. 2026 is a five month part year.

Two Rounds And Five Parts, \$5.5M Raised As Shares

- **Pre-seed, \$2,050,000 in five parts.** \$550,000 of shares bought at a set price, both committed. Then three SAFEs of \$500,000 each, released against named steps.
- **Seed, \$3,500,000 in the fourth quarter of 2028.** Priced on ten named customers and \$1.5M of repeat fees, rather than on a guess.
- **Grants, \$775,000** across eight plans. None is awarded. Four are open to us today. Switch every one off and the plan still reaches the seed.
- The deepest hole in the plan is **\$3,051,686**, so the smallest seed that works is \$1,001,686. Everything above that buys room.
- The lowest cash is **\$622,755** at the end of 2026. That is a cushion of 30% on the pre-seed. A \$500,000 loan sits behind the plan and is switched off in every figure here.
- **A bridge of \$25,000 sits inside the close.** Don Hickling advanced it in July 2026 and it is repaid at \$30,000 in August 2026, out of the second subscription. It buys no shares. The next page sets it out in full.

Where every share dollar comes from, drawn to scale



The pre-seed is sized to reach the seed talk on proof rather than on a guess.

Grants sit outside this bar because none is awarded, and the loan sits outside it because a loan is repaid rather than turned into shares.

Six Items, In The Order They Land

#	WHO	WHEN	AMOUNT	KIND	PRICE OR CEILING	WHAT HAS TO BE TRUE FIRST
1	Don Hickling	Aug 2026	\$50,000	● Shares bought now	\$0.25 a share, 200,000 shares	Committed when we set up. Secured.
2	Brooks	Aug 2026	\$500,000	● Shares bought now	\$0.50 a share, 1,000,000 shares	Build partner engaged. Intellectual property assignment signed.
3	Open	Oct-Nov 2026	\$500,000	● SAFE	\$15M ceiling, 15% off, MFN	Design note taken, twenty calls done, two partners signed.
4	Open	Feb-Mar 2027	\$500,000	● SAFE	\$18M ceiling, 15% off, MFN	Both partners live, and the first paying customer signed.
5	Open	Apr-May 2027	\$500,000	● SAFE	\$20M ceiling, 15% off, MFN	Ten thousand a month of repeat fees, across five or more customers.
6	Lender	Aug 2026	\$500,000	● Loan	8% a year, paid back out of the seed	Drawn at close only if it is needed. Every figure here is shares only.

What the columns mean. ■ **Shares bought now**, bought at an agreed price today ■ **SAFE**, money in now, shares later. **Ceiling**, the highest price it converts at. **Discount**, fifteen per cent off the round price. **MFN**, better terms later flow back to the earlier SAFE ■ **Loan**, repaid with interest, and costs no shares

Pre-seed, in shares
\$2,050,000

\$550,000 is committed at close. Then \$1,500,000 in three SAFES, each released against a named step.

Dealings with a person close to the company

Don Hickling advanced \$25,000 in July 2026 to carry the company to close. It is repaid in August 2026 at \$30,000, a flat twenty per cent, out of the Brooks subscription above. It buys no shares. He is also buying 200,000 shares for \$50,000, which is item one.

Money moves against proof rather than against a date. Each item is either true or it is not. Open means that the investor for that part is not found yet.

Loan Option, And Why It Is A Switch

- Every figure in this deck is a **shares only** figure. The loan is switched off.
- Five hundred thousand at eight per cent costs about **\$83,333** in interest and no shares at all. The same sum sold as shares at fifty cents would give up **four point seven two per cent of the firm, for good.**

WHAT THE LOAN CHANGES	SHARES ALONE	WITH THE LOAN	WHY IT MATTERS
Lowest cash before the seed	\$622,755	\$1,106,088	The least money in the bank at any year end before the seed.
Cushion on the pre-seed	30.4%	54.0%	That low point as a share of what was raised. Over twenty per cent works.
Lowest single month, October 2026	\$293,653	\$783,653	The tightest month, just before the first SAFE lands in November.
Months of cost in hand at the seed	4.1	6.3	How long the company could keep going at the end of 2027 if nothing else came in.
Cost of the money	Nothing	About \$83,333	Interest across about two years. After that the money is paid back in full.
Ownership given up	Nothing	Nothing	A loan is paid back, not turned into shares. The same sum sold as shares would cost about four and three quarter per cent of the firm, for good.

WHAT THE COLUMNS MEAN

Shares alone. The plan as every other figure states it. **With the loan.** The same plan, money borrowed and repaid.

Cushion. Cash at the low point, over what was raised. **Months of cost in hand.** Cash, over the monthly cost after it.

Both columns come from one model with one switch moved. The loan is a comfort question, and the plan is funded either way.

Next Round, And What It Costs In Ownership

- A SAFE sets no price today. Each one turns into shares at the better of its own ceiling or the round price less fifteen per cent.
- The seed is raised in the fourth quarter of 2028 at **\$30.0M after the money lands**, against \$1.5M of repeat fees and 92 live customers.
- **At that price every SAFE ceiling bites.** Priced off 2027 instead, none bites, and the same three SAFEs take a fifth of the firm. That is the second row.

WHAT IF	SEED RAISED	VALUE AFTER	SAFES TAKE	SEED TAKES	CHAD AFTER
No seed at all	-	-	-	-	-
Priced off 2027 instead	\$3,500,000	\$8.4M	21.0%	41.6%	21.0%
A thin round	\$3,000,000	\$22.0M	8.8%	13.6%	51.7%
Base case, used in this model	\$3,500,000	\$30.0M	8.6%	11.7%	53.3%
Bold, if the ramp beats the plan	\$5,000,000	\$40.0M	8.6%	12.5%	52.7%

WHAT THE COLUMNS MEAN

Value after. What the firm is worth right after the money lands. **SAFES take.** The share the three pre-seed SAFEs turn into, one SAFE at a time.

Seed takes. Money raised, divided by the value after. **Chad after.** The real share table carried through, after SAFEs, seed and the staff pool.

SAFES take is worked out one SAFE at a time against its own ceiling, then added. A ten per cent staff share pool comes out of the same value in every case. Chad after is the real share table carried through, not a sketch. This is an example, not a promise of returns.

What Could Go Wrong

Market size	The rule maker put 2,500 firms in scope. About 1,500 applied and 300 signed up in the first wave. Twenty calls off the public list answer it, and they come before the build.	ANSWERED BY Twenty calls, by the end of 2026
Rivals	Cable, inside Synctera, can reach Canada through a big bank. One call to Cable settles whether they cover Canadian payment duties. That is an answer, not a guess.	ANSWERED BY One call to Cable, by the end of 2026
Set up cost	A twenty thousand dollar deal that carries eight thousand of set up never pays back what it cost to win. Days to first value is measured from customer one, and under two weeks by customer twenty.	ANSWERED BY Days to first value, from customer one
One rule maker	Year one leans on one law and one watchdog. The second rule maker is the answer, on the same system and with a new way to fail.	ANSWERED BY Second rule maker live, third quarter of 2028
Funding	Canadian seed funding fell, and the top five funds took eighty per cent of the money raised in 2025. The plan reaches the round on ten named customers, not on a guess.	ANSWERED BY Ten named customers, early 2028

Each answer is a step on the plan, at the date it falls due. None of them waits on a regulator, and none of them waits on somebody else's decision.

Sources And Method

Each figure carries a source

- Fifty one source entries sit behind the model. Each has a claim, a figure, a publisher and a link.
- Forty are checked against a first hand page or a named second hand one.
- Five are marked estimate, five assumption, and one unconfirmed.
- The status sits on the tab, not in a footnote.

Where there is no source, it says so

- Three of the eight groups have no published count. A fourth is listed but not counted.
- The largest is property firms, at three thousand five hundred.
- Take up by group has no outside check either way. It is the most touchy input in the workbook.
- Every one of these is marked where it shows.

The model checks itself

- Zero formula errors and zero loops across twenty two tabs.
- Ten reconciliations run on the Checks tab. Each one compares two tabs that have to agree.
- Nine read PASS. Check six flags that the plan reaches the seed with less than twelve months of cash, which is a known feature of the sizing.
- Every figure in this package is read live from that workbook.

Each big figure carries a named source, and the ones with no source say so.

The payment rules cap a fine at \$1,000,000 for a serious breach and \$10,000,000 for a very serious one, per breach, under the Bank of Canada. The \$20,000,000 cap belongs to the dirty money regime under Bill C-12, a new law with a new watchdog. Both are real and most of our buyers carry both.

Team And Build Take 61% Of The Pre-Seed

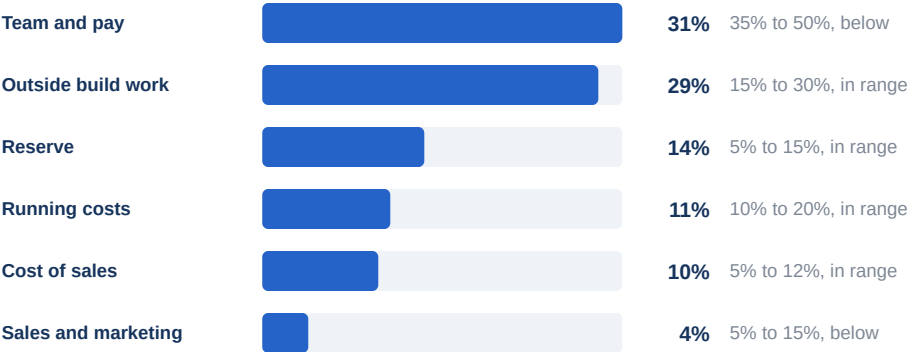
\$2,050,000 in five parts

Two committed · Seed of \$3,500,000 aimed at 2028

- **Parts one and two, \$550,000, committed.** Shares bought at twenty five and fifty cents each, so the count is known the day the money lands.
- **Parts three, four and five, \$1,500,000.** SAFEs of \$500,000 each, released against named steps rather than dates. A SAFE sets no price today.
- Fifteen per cent off, with MFN across the parts. No warrants, which are rights to buy more shares later.
- Fits inside a registered plan such as an RRSP or a TFSA, and runs under Alberta law. The ceiling schedule sits in the offering papers, which govern.

Where the pre-seed goes, 2026 and 2027

\$2.0M of spend. The range beside each bar is what a software firm at this stage normally spends.



Shares may not add to one hundred per cent because each one is rounded. Bars are drawn to the largest bucket.

Sales and grants over the same two years cover **\$866K** of the spend, so the pre-seed really funds **\$1,158,602**. Every bucket sits inside or under the range a software firm at this stage normally spends.

Summary

The chance

- A duty that falls every morning, in force since 8 September 2025
- About 300 named firms on the public list, and 1,500 more applying
- \$83.1M of yearly fees across 6,040 firms
- No tool in Canada was built for these rules

The model

- Three modules, eight groups, two rule makers, one system
- \$8.5M of sales and \$9.2M of repeat fees in 2031
- 75% gross margin, and the first profit in 2031
- One published price per group, from \$7,200 to \$33,996 a year

The raise

- \$2,050,000 pre-seed in five parts, with \$550,000 committed
- Two share buys, then three SAFEs at fifteen per cent off, with MFN
- Fits an RRSP or a TFSA. A \$500,000 loan sits behind the plan
- A \$25,000 bridge from Don Hickling is repaid at \$30,000 at close

The path

- Full duty set shipped in the fourth quarter of 2027
- Ten named customers by early 2028, then a \$3.5M seed on proof
- Second rule maker live on the same system in 2028
- Every mark on the plan sits at the date it falls due

4ORM FINANCE · AUGUST 2026

A duty that falls every morning, proved on the day it was **done**.

We keep the daily proof that a company followed the rules, in the form an inspector asks for.

Chad R. Johnston Founder, CEO and President

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